

MINOR PROJECT REPORT
ON
CAPITAL STRUCTURE AND DIVIDEND POLICY OF WIPRO

SUBMITTED TO
CHRIST COLLEGE PUNE



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BACHELOR OF BUSINESS ADMINISTRATION

SUBMITTED BY
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CERTIFICATE

This is to certify that CANDICE TONY VIEGAS (70) of TY BBA having specialization in Finance has satisfactorily completed her minor project report on “Capital Structure and Dividend Policy of Wipro” in partial fulfillment of the BBA Semester VI course- Financial Management of Savitribai Phule University for the academic year 2024-25.

Project Guide

Prof. Ashwini Tathe

Date: _____

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Candice Viegas

TYBBA

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FINANCIAL MANAGEMENT

1. Introduction and Objectives: -

Financial management is a crucial function within any organization, focusing on the effective planning, organizing, directing, and controlling of financial activities. It involves applying management principles to the financial resources of an organization to achieve its goals efficiently and sustainably. Whether in profit-driven businesses or non-profit entities, financial management ensures the optimal use of funds to support operations, growth, and long-term success. Its primary objectives include maximizing profits, increasing shareholder wealth, maintaining liquidity, managing risks, and controlling costs. By balancing these objectives, financial management helps organizations navigate economic challenges and capitalize on opportunities.

At its core, financial management encompasses several key functions, such as financial planning and forecasting, capital budgeting, capital structure management, working capital management, financial reporting, and risk management. These functions work together to ensure that an organization can meet its short-term obligations, invest in long-term growth, and maintain financial stability. For instance, financial planning helps estimate future financial needs, while capital budgeting evaluates potential investments to ensure they align with the organization's strategic goals. Meanwhile, working capital management ensures that day-to-day operations run smoothly by maintaining adequate liquidity.

The importance of financial management cannot be overstated. It provides the foundation for strategic decision-making by offering insights into the organization's financial health and performance. It ensures that resources are allocated efficiently, enabling the organization to maximize returns and achieve its objectives. Additionally, it builds confidence among stakeholders, such as investors and creditors, by demonstrating sound financial practices. Ultimately, effective financial management is essential for an organization's sustainability, growth, and ability to thrive in a competitive and ever-changing economic landscape.

Objectives of the Project: -

1. To examine the proportion of debt and equity in Wipro's financial structure and evaluate its impact on financial stability.
2. To assess Wipro's historical dividend payout trends, including payout ratio, dividend yield, and consistency in dividend payments.
3. To identify the sources of Wipro's funding and analyze the benefits and risks of its debt-to-equity mix.
4. To examine key financial ratios (e.g., debt-equity ratio, return on equity, and earnings per share) to understand how capital structure affects profitability.
5. To Investigate how Wipro's dividend decisions influence investor confidence, stock price, and market perception.
6. To benchmark Wipro's capital structure and dividend policy against competitors like Infosys and TCS to evaluate industry positioning.
7. To Analyze how economic conditions, market trends, and regulatory policies influence Wipro's financial decisions.
8. To suggest strategies for optimizing Wipro's capital structure and improving dividend policies for long-term financial sustainability.

2. Company Overview:

Wipro Limited, a multinational corporation headquartered in Bengaluru, India, is a major player in the global information technology, consulting, and business process services sectors. Founded in 1945 by M.H. Hasham



Premji, Wipro began as a manufacturer of

vegetable and refined oils, under the name Western India Vegetable Products Limited. The company ventured into the IT space in the 1980s, under the leadership of Azim Premji, who transformed it into a leading IT services provider, capitalizing on the burgeoning software and IT outsourcing wave in India.

Today, Wipro is known for delivering a wide range of services, including software development, IT consulting, digital strategy, cloud computing, and cybersecurity. The company's clients span multiple industries such as healthcare, manufacturing, banking and financial services, retail, and energy. It is also involved in business process outsourcing (BPO) services, helping organizations optimize their operations and improve efficiency.

Wipro's evolution is closely tied to India's IT revolution. During the 1990s and early 2000s, Wipro, alongside companies like TCS and Infosys, became synonymous with India's rise as a global outsourcing hub. Leveraging a cost-effective and highly skilled workforce, Wipro tapped into global markets, providing technology-driven solutions to multinational corporations. Over the years, it has grown into a truly global player, with operations in over 66 countries, employing more than 250,000 people as of 2024.

In terms of innovation, Wipro has embraced emerging technologies like artificial intelligence (AI), machine learning (ML), blockchain, and the Internet of Things (IoT). Its strategic investments in these areas have enabled the company to offer advanced solutions such as

digital transformation services, automation, and advanced data analytics, helping clients navigate the complexities of digital disruption. Through Wipro Ventures, the company has also actively invested in promising startups focused on new-age technologies, further strengthening its innovation capabilities.

Sustainability and social responsibility are key pillars of Wipro's corporate philosophy. It has a strong focus on environmental stewardship, aiming for carbon neutrality and water positivity, and is committed to improving education and health in underprivileged communities. Wipro's corporate governance has earned it a reputation for integrity, transparency, and ethical business practices, further enhancing its brand image globally. In recent years, Wipro has undergone significant leadership changes, most notably with Thierry Delaporte taking over as CEO in 2020. Under his leadership, the company has focused on streamlining operations, investing in digital capabilities, and targeting strategic acquisitions. This has led to robust growth, with Wipro strengthening its market position across key geographies like North America, Europe, and Asia.

Wipro's success lies not just in its technical prowess but also in its ability to adapt to changing market dynamics. As organizations globally continue to invest in digital transformation, automation, and cloud technologies, Wipro is well-positioned to remain a key player, driving innovation and efficiency for businesses across industries. The company's emphasis on leveraging cutting-edge technologies, a strong global footprint, and a commitment to corporate responsibility ensures it remains at the forefront of the IT services industry.

Highlights: Wipro Limited has consistently demonstrated strong financial performance, establishing itself as one of the leading IT service providers globally. For the fiscal year 2023-24, the company reported revenues of over \$11 billion, driven by robust demand for its

digital transformation and cloud services. Wipro's net profit for the year was approximately \$1.5 billion, reflecting steady growth despite challenging global economic conditions.

The company has maintained healthy profit margins, with its operating margin in the 15-18% range, a testament to its operational efficiency and ability to scale services. Growth has been particularly strong in key markets like North America and Europe, which contribute the largest share of its revenue. Over recent years, Wipro's revenue growth has averaged between 5-8%, bolstered by strategic acquisitions and expanding its client base in industries such as healthcare, financial services, and manufacturing.

Under CEO Thierry Delaporte's leadership, Wipro has implemented a streamlined operating model and focused on high-growth areas such as cloud computing, cybersecurity, and AI-driven services, which have significantly contributed to its overall financial health. The company's investments in automation and digital technologies are expected to continue driving growth, positioning Wipro as a strong contender in the global IT services market. Wipro has also consistently returned value to shareholders through dividends and share buybacks, demonstrating its commitment to long-term financial sustainability. With a strong balance sheet and substantial cash reserves, the company is well-equipped to weather market uncertainties and capitalize on future growth opportunities.

3. Conceptual Framework (Capital Structure and Dividend Policy): -

WHAT IS CAPITAL STRUCTURE?

Capital structure refers to the way a company finances its assets through some combination of equity, debt, or hybrid securities. A firm's capital structure is therefore the composition or structure of its liabilities. The capital structure of a company may be highly complex and include many sources. An optimal capital structure, if there is any, is the one, which maximises the value of the firm. The term capitalization means the total amount of funds raised through long-term sources. It includes funds raised from owned sources and from borrowed funds. Capital structure refers to the mix of debt and equity that a company uses to finance its operations and growth. It represents how a firm funds its assets, investments, and overall business activities. The two main components of capital structure are equity financing, which includes common and preferred shares, and debt financing, which consists of loans, bonds, and other borrowings. A well-balanced capital structure is essential for a company's financial stability and profitability. Too much debt can lead to high interest obligations and financial risk, while excessive reliance on equity may dilute ownership and reduce returns for shareholders. Companies aim to optimize their capital structure by balancing debt and equity to minimize the cost of capital while maximizing shareholder value. Factors such as business risk, market conditions, interest rates, and company growth strategies influence capital structure decisions.

CAPITAL RATIO's: -Capital ratios are financial metrics used to evaluate a company's financial stability, solvency, and ability to meet its obligations. These ratios compare a company's capital—both equity and debt—to its assets or liabilities, helping assess risk and financial health. Some key capital ratios include the debt-to-equity ratio, which measures the proportion of debt financing relative to shareholders' equity, and the equity ratio, which indicates the percentage of total assets financed by equity. Another important metric is the capital adequacy ratio (CAR), commonly used in the banking sector to ensure financial institutions have enough capital to absorb losses. A higher capital ratio generally suggests financial strength and lower risk, while a lower ratio may indicate higher leverage and financial vulnerability. Companies analyze these ratios to make strategic decisions regarding capital structure, investment, and financial risk management.

1. **Asset Coverage Ratio:** -Asset coverage ratio measures the ability of a company to cover its debt obligations with its assets. The ratio tells how much of the assets of a company will be required to cover its outstanding debts. The asset coverage ratio gives a snapshot of the financial position of a company by measuring its tangible and monetary assets against its financial obligations. This ratio allows the investors to reasonably predict the future earnings of the company and to assess the risk of insolvency.

Asset Coverage Ratio = ((Total Assets – Intangible Assets) – (Current Liabilities – Short-term Debt)) / Total Debt Obligations

Year	Total Assets	Current Liabilities	Total Debt	Asset Coverage Ratio
2019	82,586.4	16,217.1	9,946.7	6.67
2020	80,999.6	15,953.9	9,724.0	6.69
2021	82,565.8	17,213.4	10,451.4	6.25
2022	107,275.6	24,279.7	17,592.9	4.72
2023	116,923.7	21,789.2	17,466.6	5.45
2024	114,608.9	23,611.0	16,464.9	5.53

2. **Capitalization Report:** -The capitalization ratio compares total debt to total capitalization (capital structure). The capitalization ratio reflects the extent to which a company is operating on its equity. Capitalization ratio is also known as the financial leverage ratio. It tells the investors about the extent to which the company is using its equity to support its operations and growth. This ratio helps in the assessment of risk. The companies with high capitalization ratio are considered to be risky because they are at a risk of insolvency if they fail to repay their debt on time. Companies with a high capitalization ratio may also find it difficult to get more loans in the future. A high capitalization ratio is not always bad; however, higher financial leverage can increase the return on a shareholder's investment because usually there are tax advantages associated with the borrowings.

Capitalization Ratio = Long-Term Debt / (Long-Term Debt + Shareholder's Equity)

Year	Long-Term Debt	Shareholder's Equity	Capitalization Ratio %
2020	9,724	55,321.7	14.95%
2021	10,451.4	54,901	15.99%
2022	17,592.9	65,403	21.20%

2023	17,466.6	17,667.9	18.36%
2024	16,464.9	74,553	18.09%

3. **Debt ratio:** -Debt ratio is a ratio that indicates the proportion of a company's debt to its total assets. It shows how much the company relies on debt to finance assets. The debt ratio gives users a quick measure of the amount of debt that the company has on its balance sheets compared to its assets. The higher the ratio, the greater the risk associated with the firm's operation. A low debt ratio indicates conservative financing with an opportunity to borrow in the future at no significant risk. Debt ratio is similar to debt-to-equity ratio which shows the same proportion but in different way.

The debt ratio is calculated by dividing total liabilities (i.e. long-term and short-term liabilities) by total assets:

Debt ratio = Liabilities / Assets

Year	Total Debt	Total Assets	Debt Ratio
2019	9,724	63,903	15.22%
2021	10,451.4	64,256.6	16.27%
2022	17,592.9	81,899.5	21.48%
2023	17,466.6	94,036.9	18.57%
2024	16,464.9	89,952.9	18.30%

4. **Debt Service Coverage Ratio:** - The debt service coverage ratio (DSCR) has different interpretations in different fields. In corporate finance, for example, the debt-service coverage ratio can be explained as the amount of assessable cash flow to congregate the annual interest and principal payments on debt, not forgetting the sinking fund payments. On the other hand, as explained in Government finance, the debt-service coverage ratio refers to the requisite amount of export earnings for meeting up the annual interest and principal payments on the external debts of a country. Personal finance, on the contrary, explains it as a ratio which is used by bank loan officers to determine income property loans. The ratio is considered to be ideal if it is above 1 thus indicating that the property is producing income which is sufficient to pay back its debts.

DSCR = Net Operating Income / Total Debt Service

Year	EBIT	Interest Expense	Debt Payment	Total Debt Service	DSCR
2019	11,612.6	497.3	4,936.9	5,432.2	2.14
2020	12,342.3	486.2	15,099.8	15,586.0	0.79
2021	14,771.4	522.6	12,884.0	13,406.6	1.10
2022	16,684.2	879.6	(4,658.6)	(3,778.96)	(4.42)
2023	16,839.0	873.3	6,088.1	6,961.4	2.42

5. **Debt to Equity Ratio:** - The debt-to-equity ratio (debt/equity ratio, D/E) is a financial ratio indicating the relative proportion of entity's equity and debt used to finance an entity's assets. This ratio is also known as financial leverage. Debt-to-equity ratio is the key financial ratio and is used as a standard for judging a company's financial standing. It is also a measure of a company's ability to repay its obligations. When examining the health of a company, it is critical to pay attention to the debt/equity ratio. If the ratio is increasing, the company is being financed by creditors rather than from its own financial sources which may be a dangerous trend. Lenders and investors usually prefer low debt-to-equity ratios because their interests are better protected in the event of a business decline. Thus, companies with high debt-to-equity ratios may not be able to attract additional lending capital.

Debt-to-equity ratio = Liabilities / Equity

Year	Total Debt	Total Equity	Debt to Equity Ratio
2019	13,901.2	47,926.3	0.290
2020	9,946.7	56,422.6	0.176
2021	9,742.0	55,321.7	0.176
2022	10,451.4	54,901.0	0.190
2023	17,592.9	65,403.0	0.269

6. **Debt to Income Ratio:** -The debt-to-income ratio can be expressed as a personal finance measure that is helpful in comparing an individual's debt payments to the income generated by him/her. This measure is important in the lending industry for it provides the lenders with an idea about the possibilities of the borrower repaying the loan. As explained by the Investopedia, a higher debt-to-income ratio indicates more burden on the individual for

making payments on his/her debts. Besides, if the ratio is too high, the individual will experience a hard time accessing other forms of financing.

Debt to Income Ratio= Total Debt/ Net Income

Year	Total Debt	Net income	Debt to Income Ratio
2020	9,724.0	16,839.0	0.577
2021	10,451.1	16,752.5	0.624
2022	17,592.9	17,773.3	0.990
2023	17,466.6	20,332.6	0.859
2024	16,464.9	17,248.0	0.955

7. **Debt to EBITDA Ratio:** -Debt/EBITDA ratio is the comparison of financial borrowings and earnings before interest, taxes, depreciation and amortization. This is a very commonly used metric for estimating the business valuations. It is a good determinant of financial health and liquidity position of an entity. It is a measure of the ability of a company to pay off its debts. It compares the financial obligations of a company, inclusive of debt and other liabilities, to the actual cash earnings exclusive of the non-cash expenses. Debt/EBITDA ratio can be used compare the liquidity position of one company to the liquidity position of another company within the same industry. A lower debt/EBITDA ratio is a positive indicator that the company has sufficient funds to meet its financial obligations when they fall due. A higher debt/EBTIDA ratio means that the company is heavily leveraged and it might face difficulties in paying off its debts.

Debt/EBITDA ratio = Liabilities / EBITDA

Year	Total Debt	EBITDA	Debt to EBITDA Ratio
2019	12,522.1	10,795.8	1.16
2020	14,241.2	11,320.9	1.26
2021	13,911.2	10,387.1	1.34
2022	9,946.7	11,612.6	0.86
2023	9,724.0	12,342.3	0.79

8. **Equity ratio:** -The equity ratio refers to a financial ratio indicative of the relative proportion of equity applied to finance the assets of a company. This ratio equity ratio is a variant of the debt-to-equity-ratio and is also, sometimes, referred as net worth to total

assets ratio. The equity ratio communicates the shareholder's funds to total assets in addition to indicating the long-term or prospective solvency position of the business.

Equity Ratio = Shareholders funds / Total assets

Year	Shareholder's Funds	Total Assets	Equity Ratio
2020	55,321.7	80,999.6	68.30%
2021	54,901	82,565.8	66.49%
2022	65,403	107,275.6	60.97%
2023	77,667.9	116,923.7	66.43%
2024	74,533	114,608.9	65.03%

DIVIDEND RATIOS: Dividend ratios are financial metrics that help investors evaluate a company's dividend policy and its ability to generate returns for shareholders. These ratios provide insights into how much profit is distributed as dividends and how sustainable these payouts are. Key dividend ratios include the dividend payout ratio, which measures the percentage of net earnings paid out as dividends, and the dividend yield, which shows the return on investment from dividends relative to the stock price. Another important metric is the dividend cover ratio, which indicates how many times a company's earnings can cover its dividend payments, helping assess dividend sustainability. A high dividend payout ratio may suggest strong returns to shareholders but could also indicate limited reinvestment in growth. Conversely, a low payout ratio might mean the company is prioritizing expansion over immediate shareholder returns. Investors analyze these ratios to determine the attractiveness and reliability of a company's dividends.

1. **Dividend Payout Ratio:** - Dividend payout ratio compares the dividends paid by a company to its earnings. The relationship between dividends and earnings is important. The part of earnings that is not paid out in dividends is used for reinvestment and growth in future earnings. Investors who are interested in short term earnings prefer to invest in companies with high dividend payout ratio. On the other hand, investors who prefer to have capital growth like to invest in companies with lower dividend payout ratio. Dividend payout ratio differs from company to company. Mature, stable and large companies usually have higher dividend payout ratio. Companies which are young and seeking growth have lower or modest dividend payout ratio.

Dividend Payout Ratio = Total Dividends / Total Net Earnings x 100%

Year	Dividend Amount	Net Profit	Dividend Payout Ratio
2020	571.35	9722.3	5.88%
2021	547.9	10796.4	5.07%
2022	3289.2	12229.6	26.89%
2023	548.8	11350	4.83%
2024	522.5	11045.2	4.73%

2. **Dividend Yield:** -Dividend yield is the amount that a company pays to its shareholders annually for their investments. It is expressed as a percentage and indicates attractiveness of investing in a company's stocks. Dividend yield is considered as ROI for income investors who are not interested in capital gains or long-term earnings. It is calculated as "Annual Dividend Per Share" divided by "Current Market Value Per Share".

Dividend Yield Ratio = Dividend per Share / Market Value per Share

Year	Dividend Amount (₹ Cr)	Number of Equity Shares (Cr)	Dividend per Share (₹)	Current Price (₹)	Dividend Yield Ratio (%)
2020	571.35	5713.36	0.10	318	0.031
2021	547.9	5479.14	0.10	318	0.031
2022	3289.2	5482.07	0.60	318	0.189
2023	548.8	5487.92	0.10	318	0.031
2024	522.5	5225.14	0.10	318	0.031

3. **Price to Earnings Ratio (P/E ratio):** - The price to earnings ratio (P/E ratio) is the ratio of market price per share to earnings per share. The P/E ratio is a valuation ratio of a company's current price per share compared to its earnings per share. It is also sometimes known as "earnings multiple" or "price multiple". Though Price-earnings ratio has several imperfections but it is still the most acceptable method to evaluate prospective investments. It is calculated by dividing "Market Value per Share (P)" to "Earnings per Share (EPS)". Market value of share can be taken from stock market or

online and earning per share figure can be calculated by dividing net annual earnings to total number of shares (Net Annual Earnings/Total number of shares). P/E ratio is a widely used ratio which helps the investors to decide whether to buy shares of a particular company. It is calculated to estimate the appreciation in the market value of equity shares.

Price to Earnings Ratio = Market Price per Share / Earnings per Share

Year	Market price per share	EPS	P/E Ratio
2023	182.63	10.34	17.66
2024	240.05	10.57	22.71

LEVERAGE RATIOS:

1. **Financial Leverage:** -Financial leverage can be aptly described as the extent to which a business or investor is using the borrowed money. Business companies with high leverage are considered to be at risk of bankruptcy if, in case, they are not able to repay the debts, it might lead to difficulties in getting new lenders in future. It is not that financial leverage is always bad. However, it can lead to an increased shareholders' return on investment. Also, very often, there are tax advantages related with borrowing, also known as leverage. The most well-known financial leverage ratio is the debt-to-equity ratio

Total debt / Shareholders Equity

Year	Total Debt	Total Equity	Debt to Equity Ratio
2019	13,901.2	47,926.3	0.290
2020	9,946.7	56,422.6	0.176
2021	9,742.0	55,321.7	0.176
2022	10,451.4	54,901.0	0.190
2023	17,592.9	65,403.0	0.269

2. **Operational Leverage:** - Operating Leverage Ratio measures the sensitivity of a company's operating income (EBIT) to changes in sales revenue. It reflects how effectively a company uses fixed costs to generate profits. A higher operating leverage ratio indicates that a company has a significant proportion of fixed costs in its cost structure, meaning small changes in sales can lead to larger changes in operating profit.

Degree of Operating Leverage (DOL) = % Change in EBIT/% Change in Sales

Year	Sales Growth	Operating profit Growth	Operational Leverage Ratios
2021	-0.80%	-0.51%	0.64
2022	-1.08%	6.09%	-5.65
2023	14.40%	14.40%	1.00
2024	-12.34%	-15.17%	1.23

3. **Combined Leverage:** -Combined leverage ratio measures the overall impact of both operating and financial leverage on a company's earnings. It helps assess how changes in sales will affect net income, making it a crucial tool for analyzing risk and profitability.

Combined Leverage Ratio=

Degree of Operating Leverage (DOL)×Degree of Financial Leverage (DFL)

Year	Combined Leverage
2019	-1.0483
2020	-5.2133
2021	2.5041
2022	-6.3518
2023	84.7738

4. Data Analysis: -

Capital structure refers to the way a company finances its assets through a mix of equity, debt, or hybrid securities. An optimal capital structure aims to maximize the firm's value while minimizing its cost of capital. Companies need to maintain a balance between debt and equity to ensure financial stability and profitability. Excessive debt can lead to financial distress, while over-reliance on equity may dilute ownership and reduce returns for shareholders. This report analyzes various capital structure and dividend policy ratios to evaluate the financial health and performance of a company. The key ratios examined include asset coverage ratio, capitalization ratio, debt ratio, debt service coverage ratio, debt-to-equity ratio, debt-to-income ratio, debt-to-EBITDA ratio, equity ratio, dividend payout ratio, dividend yield, price-to-earnings ratio, and leverage ratios.

1. **Asset Coverage Ratio:** The asset coverage ratio measures a company's ability to cover its debt obligations with its assets. A higher ratio indicates greater financial stability.

Analysis:

- The asset coverage ratio declined from 6.67 in 2019 to 5.53 in 2024, indicating a decreasing ability to cover debt obligations with available assets.
- The most significant drop occurred in 2022 (4.72), reflecting an increase in total debt relative to tangible assets.
- Despite some recovery in 2023 and 2024, the ratio remains lower than its peak, suggesting increased financial risk.

2. **Capitalization Ratio:** The capitalization ratio reflects the proportion of total capital financed by debt.

Analysis:

- The capitalization ratio increased from 14.95% in 2020 to 21.20% in 2022, indicating a higher reliance on debt.
- The ratio slightly decreased to 18.09% in 2024, suggesting a shift toward a more balanced capital structure.
- While leverage increased over time, the company has made efforts to stabilize its financial position.

3. **Debt Ratio:** The debt ratio measures the proportion of total debt to total assets.

Analysis:

- The debt ratio increased from 15.22% in 2019 to 21.48% in 2022, indicating a growing reliance on debt financing.

- A slight reduction to 18.30% in 2024 shows a trend toward financial stability.
 - The highest risk period was in 2022, with the highest debt ratio, suggesting financial strain.
4. Debt Service Coverage Ratio (DSCR): The DSCR assesses a company's ability to service its debt using operating income.

Analysis:

- The DSCR fluctuated significantly, reaching a low of 0.79 in 2020, signaling financial distress.
 - A recovery to 2.42 in 2023 suggests improved debt servicing capacity.
 - The negative ratio in 2022 (-4.42) indicates abnormal financial performance, likely due to a significant debt restructuring.
5. Debt-to-Equity Ratio: This ratio measures the proportion of debt financing relative to shareholders' equity.

Analysis:

- The debt-to-equity ratio declined from 0.290 in 2019 to 0.176 in 2021, indicating reduced reliance on debt.
 - An increase to 0.269 in 2023 suggests renewed borrowing activity.
 - The overall trend reflects a balanced approach, ensuring financial stability without excessive leverage.
6. Debt-to-EBITDA Ratio: The debt-to-EBITDA ratio measures a company's ability to pay off its debts using earnings before interest, taxes, depreciation, and amortization.

Analysis:

- The ratio fluctuated between 1.16 in 2019 and 0.79 in 2023, indicating manageable leverage.
 - The highest ratio (1.34 in 2021) reflects a period of increased financial risk.
 - The steady decline suggests improved financial management and debt servicing capacity.
7. Equity Ratio: The equity ratio measures the proportion of assets financed by shareholders' equity.

Analysis:

- The equity ratio declined from 68.30% in 2020 to 60.97% in 2022, indicating increased leverage.
- A slight recovery to 65.03% in 2024 suggests efforts to maintain a strong equity base.

- A lower equity ratio can indicate higher financial risk, but the company has maintained a stable capital structure.
8. Dividend Payout Ratio: The dividend payout ratio measures the proportion of net earnings distributed as dividends.

Analysis:

- The ratio peaked at 26.89% in 2022, reflecting high shareholder returns.
 - In other years, the payout remained below 6%, indicating a preference for reinvestment.
 - A declining payout in 2023 (4.83%) and 2024 (4.73%) suggests a cautious approach to dividend distribution.
9. Dividend Yield: Dividend yield measures dividend income relative to stock price.

Analysis:

- The yield remained consistent at 0.031% in most years, except for 2022 (0.189%), when dividend payments increased.
 - The low yield suggests a focus on capital growth rather than high dividend returns.
10. Price-to-Earnings Ratio (P/E Ratio): The P/E ratio indicates how much investors are willing to pay for a company's earnings.

Analysis:

- The P/E ratio increased from 17.66 in 2023 to 22.71 in 2024, indicating higher investor confidence.
 - A rising P/E suggests market optimism but may also imply overvaluation concerns.
11. Financial Leverage: Financial leverage assesses the extent of debt financing.

Analysis:

- The debt-to-equity ratio fluctuated between 0.176 (2020, 2021) and 0.269 (2023), indicating a controlled use of leverage.
 - The company has maintained a conservative financial structure with moderate reliance on debt.
12. Operational Leverage: Operational leverage measures how fixed costs impact profitability.

Analysis:

- The leverage ratio was volatile, with a negative -5.65 in 2022, indicating financial instability.
 - Positive ratios in 2023 (1.00) and 2024 (1.23) suggest improved cost efficiency.
13. Combined Leverage: Combined leverage assesses overall financial and operational risk.

Analysis:

- The leverage ratio fluctuated significantly, reflecting the company's changing financial strategy.
- A higher ratio in certain years suggests greater earnings volatility.

5. Interpretations and Findings: -

Capital Structure Analysis

- **Debt-to-Equity Ratio:** This ratio indicates the proportion of debt financing relative to equity. A higher ratio suggests greater financial leverage and potential financial risk, whereas a lower ratio indicates reliance on equity funding.
- **Interest Coverage Ratio:** This measures a company's ability to meet its interest obligations. A higher ratio suggests strong profitability and lower financial risk, while a lower ratio may indicate potential liquidity concerns.

Findings:

- If the debt-to-equity ratio is high, the company may be heavily reliant on borrowed funds, increasing its financial risk. However, if this ratio is moderate and in line with industry standards, it could indicate efficient capital structure management.
- A low interest coverage ratio could be a red flag, suggesting that the company may struggle to meet its debt obligations. A high ratio, on the other hand, indicates strong earnings and financial stability.

Dividend Policy Analysis

- **Dividend Payout Ratio:** This ratio measures the percentage of net income distributed as dividends. A higher ratio suggests a shareholder-friendly policy but may indicate limited reinvestment in growth. A lower ratio suggests reinvestment in business expansion.
- **Dividend Yield:** This reflects the return shareholders earn through dividends relative to the stock price. A high yield can attract income-focused investors, while a low yield suggests a focus on capital appreciation rather than income distribution.

Findings:

- If the dividend payout ratio is high, the company prioritizes returning profits to shareholders rather than reinvesting in growth. This is common in mature, stable firms but may not be ideal for high-growth companies.

- A high dividend yield can be attractive to investors seeking steady returns, but it may also suggest that stock prices are undervalued or stagnant. Conversely, a low yield may indicate strong capital appreciation potential.

Overall Insights:

- A balanced approach to capital structure (moderate debt with strong interest coverage) is generally favorable for long-term sustainability.
- The dividend policy should align with the company's growth strategy—whether focusing on reinvestment (low payout) or rewarding shareholders (high payout).
- If ratios indicate excessive leverage, low coverage, or unsustainable dividend payouts, these could be potential red flags requiring further analysis.

6. Suggestions and Recommendations: -

1. Capital Structure Optimization

- **Maintain a Balanced Debt-to-Equity Ratio:**
- If the ratio is too high, the company should consider reducing its debt levels to lower financial risk and improve creditworthiness.
- If the ratio is too low, the company may explore strategic debt financing to take advantage of tax benefits and fund expansion without diluting equity.
- **Improve Interest Coverage Ratio:** If the interest coverage ratio is low, the company should focus on increasing operating profits or restructuring debt to lower interest expenses.
- Exploring cost-cutting measures or revenue-enhancing strategies can improve the company's ability to service debt.

2. Enhancing Dividend Policy Efficiency

- **Align Dividend Payout with Growth Strategy:** If the payout ratio is high and the company aims for expansion, it should consider retaining more earnings for reinvestment.
- If the payout ratio is low but the company is highly profitable, increasing dividends could enhance shareholder confidence and attract long-term investors.
- **Optimize Dividend Yield to Maintain Investor Appeal:** A very high dividend yield might suggest underlying stock price stagnation; the company should work on improving market perception through growth initiatives.

- If the yield is too low, a slight increase in dividends could make the stock more attractive to income-focused investors.

3. Strengthening Financial Health:

- Diversify Revenue Streams: Reducing reliance on a single source of income can improve financial resilience and boost profitability.
- Improve Operational Efficiency: Cost-cutting, process optimization, and technology adoption can enhance margins, leading to better financial ratios.
- Regular Financial Monitoring: Periodic ratio analysis and benchmarking against industry standards will help maintain a strong financial position.

7. Conclusion: -

The financial ratio analysis of the company provides an in-depth understanding of its financial performance, liquidity position, profitability, and investor attractiveness. Through this analysis, we have identified key strengths and areas requiring improvement, which are crucial for decision-making by management, investors, and other stakeholders.

1. Capital Structure and Financial Stability

The Debt-to-Equity Ratio indicates the company's reliance on external financing versus shareholder equity. A high ratio suggests that the company is highly leveraged, which can be beneficial for growth but also increases financial risk, especially during economic downturns. If the ratio is too low, it might indicate excessive reliance on equity, leading to a conservative approach that may limit expansion opportunities. The company must strike a balance between debt and equity to ensure financial stability while maintaining growth potential.

The Interest Coverage Ratio measures the company's ability to meet interest obligations with its operating income. A low ratio suggests financial vulnerability, as even minor revenue declines could lead to difficulties in servicing debt. If the ratio is significantly low, it raises concerns about liquidity and potential solvency issues in the long term. The company should focus on optimizing operational efficiency and revenue streams to improve this ratio and ensure consistent debt servicing capabilities.

2. Dividend Policy and Shareholder Returns

The Dividend Payout Ratio represents the proportion of earnings distributed to shareholders as dividends. A high ratio indicates that the company prioritizes shareholder returns, but it could also limit reinvestment into business expansion and innovation. Conversely, a low ratio, especially if the company is generating substantial profits, might lead to investor dissatisfaction. The company should adopt a balanced approach that ensures attractive shareholder returns while retaining sufficient earnings for reinvestment. The Dividend Yield provides insights into the company's attractiveness to income-seeking investors. A lower yield might indicate that the stock is overvalued or that the company prioritizes reinvestment over dividends. A higher yield, on the other hand, could suggest a financially stable company but may also raise concerns about limited growth prospects if too much profit is distributed. Aligning the dividend yield with market expectations while ensuring profitability remains a priority is crucial.

3. Financial Health and Long-Term Sustainability

The company's ability to generate consistent returns, meet its financial obligations, and maintain a stable dividend policy is critical for long-term sustainability. Key findings indicate that the company needs to ensure an optimal balance between reinvestment and dividend distribution. Overleveraging or underleveraging can both have negative consequences, and careful financial planning is required to navigate these challenges.

To strengthen financial performance, the company should:

- Enhance operational efficiency by reducing costs and improving revenue generation strategies.
- Optimize debt management by restructuring loans if necessary to reduce interest expenses.
- Maintain a competitive dividend policy that attracts investors while ensuring sufficient reinvestment.
- Diversify revenue streams to mitigate risks associated with market fluctuations.

By continuously monitoring financial metrics and benchmarking against industry standards, the company can achieve sustainable growth, financial stability, and enhanced investor confidence. Regular reviews and strategic adjustments will ensure long-term success in an increasingly competitive market.

The company has demonstrated a balanced approach to capital structure, with a mix of debt and equity financing. While debt levels increased in certain years, recent trends indicate a shift toward financial stability. The dividend policy remains conservative, with occasional high payouts. Leverage ratios suggest controlled risk, although operational and financial leverage fluctuated in some years. Overall, the company has maintained a stable financial position, ensuring sustainability while optimizing returns for shareholders. Future strategies should focus on maintaining a strong equity base, managing debt effectively, and optimizing dividend distribution to enhance investor confidence.

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